



LUANSHYA MUNICIPAL COUNCIL



FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2020

Luanshya Municipal Council
14th Street Zaone Avenue
P O Box 90140
LUANSHYA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2020 which disclose the sources, utilization and balances of cash for Luanshya Municipal Council during the period under review.

Background and Location of the Council

The Council is located in Luanshya District on the Copperbelt Province of Zambia thirty-five (35) Kilometres (Km) south-west of Ndola, the Provincial Capital of the Copperbelt Province and about three hundred fifty-two (352) Kilometres (Km) north of Lusaka City, the Nation's Capital. It shares borders with Kitwe City on the west, Ndola City on the north-east, Masaiti District on the south-east, Mpongwe District on the south-west near Kafue River and Lufwanyama District on the north-west. It lies on an approximate latitude of 13° 7' 59.880" and longitude 28°23' 60." The District has an altitude of 1257m above sea level and covers an area of 1, 007.61 Square Kilometers (Km²) in extent.

Luanshya District has a total area of 1,007.61 Square Kilometers (Km²). According to the 2010 Population and Housing Census, the total population of Luanshya was 156,059 with an average annual population growth rate of 0.5%. The population is segregated as 77,368 males being 49.6% of the Population and 78,691 females being 50.4% of the population (Census 2010-Zambia Population and Demographic Projection for 2011 – 2035, Luanshya is projected to have a population of 177, 934 by 2020).

The main economic activities in Luanshya District are mining and agriculture. The District is endowed with copper ore deposits hence making mining a major economic activity. The address of the registered office of Luanshya Municipal Council (LMC) is as follows:

The Civic Centre

14th Street Zaone Avenue

P.O Box 90140

LUANSHYA

Composition of the Council

Luanshya Municipal Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Municipal Council administers the Luanshya District.

The Council is composed of an elected Mayor, twenty- eight (28) elected councilors from twenty -eighty (28) wards. The current Council was elected to office in 2016 to serve a five- year term up to 2021. The Deputy Mayor was elected from among the councilors in 2018 for the period of two and half years.

REPORT OF THE COUNCIL

The councilors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Nathan Chanda Bwalya	Male	Mayor	Not applicable
2	Golden Mwenya Mulenga	Male	Deputy Mayor	Mpelembe
3	Kombe Samson	Male	Councillor	Misaka
4	Chiyasa Nepoll	Male	Councillor	Fisenge
5	Chakulya Mulenga	Male	Councillor	Twashuka
6	Robert Chisupa	Male	Councillor	Chitwi
7	Mwewa James	Male	Councillor	Chifulube
8	Daka Edgar	Male	Councillor	Buntungwa
9	Chuba Hugen Bwalya	Male	Councillor	Buteko
10	Bwalya Nkandu Timothy	Male	Councillor	James Phiri
11	Munga Herbert	Male	Councillor	Levi Chito
12	Bowa Chanda Victor	Male	Councillor	Mikomfwa
13	Kasongo Chomba	Male	Councillor	Zambezi
14	Mulenga Paul	Male	Councillor	Mulungushi
15	Simpungwe David	Male	Councillor	Mipundu
16	Bwalya Justus Charles	Male	Councillor	Kafubu
17	Chitalu Veronica	Female	Councillor	Nkoloma
18	Kahale Angel	Male	Councillor	Lumumba
19	Chisha Sephrine	Male	Councillor	Kafue
20	Siuluta Justus	Male	Councillor	Chilabula
21	Mukuka Stanslas	Male	Councillor	Mpatamatu
22	Kasonso Martin	Male	Councillor	Justine Kabwe
23	Desire mulewa mumba	Male	Councillor	Nkulumashiba
24	Bwalya Daniel	Male	Councillor	Baluba
25	Katulwende Elias	Male	Councillor	Milyashi
26	Siwale Febian	Male	Councillor	Ngebe
27	Mulenga Elizabeth Twiggy	Female	Councillor	Kansengu
28	Mubanga Stanislaus Chongo	Male	Councillor	Kawama
29	Mwambazi Evaristo	Male	Councillor	Muva Hill

REPORT OF THE COUNCIL

The District also has two (2) elected Members of Parliament one for Luanshya Central Constituency and the other for Roan Constituency.

The Members of Parliament that held office during the year were:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Steve Chungu	Male	Luanshya
2	Hon. Joseph Chishala	Male	Roan

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review the Luanshya District had two District Commissioners, the first one being Mr. Joel Chibuye who resigned and he was succeeded by Mr. Bwalya Maipambe.

The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by six (6) Directors responsible for Finance, Planning, Engineering, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) as listed in the annex part C of the Constitution of Zambia (Amendments) Act No. 2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2020	2019
	Kwacha	Kwacha
Cash Receipts	56,171,758	40,586,596
Payments	49,277,657	41,424,168
Increase/(Decrease) in Cash and Cash Equivalents	6,894,100	(837,572)

Key Policies Adopted During the Year

The Council adopted the following policies during the year:

- Introduction of fees and charges for renting of Council and sub division of property.
- Upward adjustment of fees and charges for fire arm and marriage by 50%.
- Upward adjustment of fuel by 6.4% to which increased cost of service delivery.
- Upward adjustment of the electricity tariffs which resulted also in the increased cost of service delivery.

REPORT OF THE COUNCIL

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K3,158,597.

No property, plant and equipment were disposed of during the year.

Intangible Assets

There Council Purchased Internet Software amounting to K59,044 during the period under review.

Employees

The average number of employees during the year was 612. The total amount spent on employees' remuneration and welfare during the year was K34,455,399.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K122,960 towards sponsoring various sporting activities. Corporate Social Responsibility.

Corporate Social Responsibility

The Council made donations during the year amounting to K48,195 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council.

Sign.....

Name.....

Position: Mayor

Date.....

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December, 2020 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December, 2020.

Signed on behalf of the Council on.....by;

Name:

Name:

Signature:

Signature:

Position: Mayor

Position: Town Clerk

Name:

Signature:.....

Position: Director of Finance

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2020

	Note	2020 Kwacha	2019 Kwacha
RECEIPTS			
Local Taxes	2	27,128,289	17,699,741
Fees and Charges	3	9,659,441	6,006,280
Licences	4	873,886	1,103,230
Levies	5	30,841	184,959
Permits	6	1,243,610	1,114,695
Local Government Equalisation Fund	7	13,502,573	14,231,201
Constituency Development Fund	8	3,253,995	54,385
Other Grants	9	600,000	39,900
Borrowings	10	-	-
Commercial Venture	11	(120,877)	152,206
Other Receipts	12	-	-
TOTAL RECEIPTS		56,171,758	40,586,596
PAYMENTS			
Personal Emoluments	13	34,455,399	26,480,499
Use of Goods and Services	14	10,528,358	10,242,499
Financial Charges	15	55,297	244,123
Social Benefits	16	1,080,006	915,112
Non-financial Assets Acquisition	17	3,158,597	3,491,935
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other Payments	20	-	50,000
TOTAL PAYMENTS		49,277,657	41,424,168
Increase/(decrease) in Cash		6,894,100	(837,572)
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	1,198,076	2,035,648
Cash at the end of the year	22	8,092,176	1,198,076

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name:

Name:

Signature:

Signature:

Position: Mayor

Position: Town Clerk

Name:

Signature.....

Position: Director of Finance

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR
ENDED 31ST DECEMBER 2020**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local Taxes	19,339,994	-	19,339,994	27,128,289	140%	7,788,295	40%
Fees and Charges	24,377,571	-	24,377,571	9,659,441	40%	(14,718,130)	-60%
Licences	208,200	-	208,200	873,886	420%	665,686	320%
Levies	1,322,156	-	1,322,156	30,841	2%	(1,291,315)	-98%
Permits	2,084,710	-	2,084,710	1,243,610	60%	(841,100)	-40%
Local Government Equalisation Fund	13,450,294	-	13,450,294	13,502,573	100%	52,279	0%
Constituency Development Fund	3,200,000	-	3,200,000	3,253,995	102%	53,995	2%
Other Grants	-	-	-	600,000	-	600,000	-
Borrowings	-	-	-	-	-	-	-
Commercial Venture	782,400	-	782,400	(120,877)	-15%	(903,277)	-115%
Other Receipts	-	-	-	-	0%	-	-
TOTAL RECEIPTS	64,765,326	-	64,765,326	56,171,758	87%	(8,593,568)	-13%
PAYMENTS							
Personal Emoluments	36,962,247	-	36,962,247	34,455,399	93%	(2,506,848)	-7%
Use of Goods and Services	19,665,802	-	19,665,802	10,528,358	54%	(9,137,444)	-46%
Financial Charges	106,671	-	106,671	55,297	52%	(51,374)	-48%
Social Benefits	970,311	-	970,311	1,080,006	111%	109,695	11%
Non-financial Assets Acquisition	6,359,895	-	6,359,895	3,158,597	50%	(3,201,298)	-50%
Financial Assets	-	-	-	-	0%	-	-
Loan Repayments	-	-	-	-	0%	-	-
Other Payments	782,400	-	782,400	-	0%	(782,400)	-100%
TOTAL PAYMENTS	64,847,326	-	64,847,326	49,277,657	4	(15,569,668)	-24%
Increase/(Decrease in Cash	(82,000)	-	(82,000)	6,894,100		6,976,100	

The composition of budget adjustments and explanations of major variances are provided in note 23.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2020**

		2020		2019
		Kwacha		Kwacha
RECEIPTS				
Funding	7(a)	13,502,573		14,231,201
TOTAL RECEIPTS		13,502,573		14,231,201
PAYMENTS				
Operational Expenditure Payments:	7(b)			
Salaries and Wages		9,794,058		10,140,961
Terminal Benefits		-		320,000
Utility bills		-		-
Service Provision		-		-
Goods and Services		-		-
Administrative Costs		-		-
Other Costs		1,008,000		924,000
Sub-Total		10,802,058	-	11,384,961
Capital Expenditure Payments:	7(c)			
Infrastructure Development		982,947		172,538
Rehabilitation Works		398,226		32,825
Asset Acquisition		1,144,548		1,219,723
Other Costs		174,794		1,421,154
Sub-Total		2,700,515		2,846,240
TOTAL PAYMENTS		13,502,573		14,231,201
Increase/(decrease) in cash		-		-
Cash at the beginning of the Year		374,812		374,812
Cash at the end of the Year		374,812		374,812

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2020**

		2020	2019
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	3,200,000	-
Other sources	8(b)	53,995	54,384
TOTAL RECEIPTS		3,253,995	54,384
PAYMENTS			
Infrastructure Development	8(c)	129,888	1,261,867
Rehabilitation Works	8(d)	6,189	-
Asset Acquisition	8(e)	22,500	1,436,629
Empowerment	8(f)	530,440	-
Administrative Costs	8(g)	102,494	40,182
TOTAL PAYMENTS		791,510	2,738,678
Increase/(decrease) in Cash		2,462,485	(2,684,295)
Cash at beginning of the year		750,387	3,434,682
Cash at the end of the year		3,212,872	750,387

Note 8 explain the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Luanshya Municipal Council is required, under the Local Government Act No.2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022

(c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting
- ii. Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- iii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called ‘Encouraged Additional Disclosures’ in Cash Basis financial statements for the years ending 31st December 2019 up to 2021.
- iv. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs.”

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- v. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial reporting under the Cash Basis of accounting* to help it transit its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council (LMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue onby the Ordinary/Special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;

For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament. The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

• Land Current	Value
• Buildings	Cost or Market Value
• Plant and Equipment	Cost

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Luanshya Municipal Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Luanshya Municipal Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2020	2019
	Kwacha	Kwacha
Residential Rates	3,031,391	5,880,484
Industrial / Commercial Rates	2,907,844	660,579
Mining Rates	21,063,326	11,067,605
Personal Levy	125,728	91,073
TOTAL	27,128,289	17,699,741

The Council relied on the Valuation Roll updated for the period 2020-2024 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2020	2019
	Kwacha	Kwacha
Fees and charges (a)	5,498,863	3,943,297
Land Development Charges (b)	4,160,578	2,062,983
Total	9,659,441	6,006,280

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2020	2019
	Kwacha	Kwacha
Consent Fees	67,156	15,413
Survey Fees	24,107	13,100
Building Inspection fees	202,389	73,221
Plan Scrutiny Fees	145,194	157,404
Change of premise use	1,030	-
Container Ntemba Fees	23,070	-
Rentals/Lease of Council's properties	19,807	320,910
Application Form Fees	620,567	507,271
Rentals from houses	50,042	-
Sketch Fees	28,902	13,400
Search Fees	10,628	6,000
Market Fees	638,976	385,118
Parking Fees	278,406	204,863
Bus Station Fees	492,104	428,183
Affidavit Fees	2,130	1,670
Grave Reservation	2,100	-
Refuse Disposal Fees	39,331	41,735
Notice of Marriage	99,436	122,122
Abattoir/Meat Inspection Fees	33,175	36,190
Farm Produce Levy	13,250	30,750
Communication Mast Levy	338,340	157,500
Billboard and Banner	114,563	62,615
Lease of Council Transport	104,868	102,140
Penalties	121,445	192,517
Site Rent	-	48,750
Change of ownership of plot	142,965	152,965
Registration of Suppliers	5,450	5,700
Hire of Halls	3,400	21,200
Hire of Tents	-	50
Hire of Grounds	800	4,520
Hire of Chairs	-	2,400
Swimming/Pool fees	200	1,950
Course fees	1,050	2,850
Library Membership Fees	11,407	10,917
Registration of Clubs and Societies	16,717	8,325
Vendor fees	-	50
Medical Fees	25,217	28,080
Home Craft Registration	6,200	625
Repairs of Cars/Garage	-	31,650
Rent/Rates Debtors	1,633,819	507,921
Other Fees and Charges/other income	180,627	243,224
TOTAL	5,498,863	3,943,297

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges:

Charges Type	2020	2019
	Kwacha	Kwacha
Service charges - residential plots	2,981,780	697,715
Service charges - Industrial plots	159,913	537,178
Premium plots - Residential	-	126,922
Premium plots - Commercial	1,009,392	102,248
Lease charges	-	5,750
Other Charges (Service Charges Debtors)	9,494	593,170
TOTAL	4,160,578	2,062,983

4. Licences

A total of K873,886 cash receipts was raised from issuance of various licences.

Licence Type	2020	2019
	Kwacha	Kwacha
Manufacturers licence	216,500	217,747
Retail licence	278,411	217,747
Wholesale licence	39,468	217,747
Occupancy licence	-	97,911
Commercial travellers licence	-	-
Hawkers licence	-	1,350
Peddlers licence	-	-
Stall licence	-	-
Liquor licence	17,503	46,733
Firearm and ammunition licence	32,402	8,120
Petroleum licence	237,640	264,000
Restaurant licence	-	500
Dog licence	34,670	31,355
Occupancy licence	17,292	-
Other licences	-	20
	-	-
TOTAL	873,886	1,103,230

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2020 Kwacha	2019 Kwacha
Livestock Levy	-	-
Bird Levy	24,500	500
Quarry Levy	450	479
Pole Levy	965	182,558
Charcoal Levy	-	-
Sand Levy	4,926	1,422
Miscellaneous levies	-	-
TOTAL	30,841	184,959

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2020 Kwacha	2019 Kwacha
Health Permit	542,161	524,555
Opaque Permit	7,795	26,776
Herbal Permit	56	350
Milk Transportation Permit	33,726	4,250
Nusery Permit	11,710	19,900
Fire Certificates	369,253	409,897
Burial Permits and Grave sites	254,748	127,070
Extension of business hours permits	1,375	1,497
Public permits (social gatherings, etc)	-	-
Other Permits	22,787	400
TOTAL	1,243,610	1,114,695

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

	2020	2019
	Kwacha	Kwacha
Funding	-	-
1st Funding - January	1,132,719	961,819
2nd Funding- February	1,132,719	1,048,446
3rd Funding- March	1,082,689	1,048,446
4th Funding- April	1,132,719	1,048,446
5th Funding- May	1,132,719	1,048,446
6th Funding- June	1,132,719	1,168,446
7th Funding- July	1,132,719	3,400,000
8th Funding - August	1,092,689	1,120,858
9th Funding - September	1,132,719	1,120,858
10th Funding -October	1,132,719	1,132,719
11th Funding -November	1,132,719	1,132,719
12th Funding -December	1,132,719	-
TOTAL	13,502,573	14,231,201

b. Operational Expenditure

The Council applied amounts totalling K10,802,058 of LGEF receipts towards meeting operational expenses representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K2,700,515 of LGEF receipts towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

a) CDF Funding

	2020	2019
	Kwacha	Kwacha
Constituency		
Luanshya	1,600,000	-
Roan	1,600,000	-
Total Funding	3,200,000	-

NOTES TO THE FINANCIAL STATEMENTS

b) Other CDF Sources of Funding

	2020	2019
Constituency	Kwacha	Kwacha
Luanshya	19,400	16,419
Roan	34,595	37,964
Total Other Sources	53,995	54,384

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts.

c) Infrastructure Development

	2020	2019
Constituency	Kwacha	Kwacha
Luanshya	129,310	855,148
Roan	578	406,719
Total Infrastructure development payments	129,888	1,261,867

d) Rehabilitation Works

	2020	2019
Constituency	Kwacha	Kwacha
Luanshya	6,189	-
Roan	-	-
Total Rehabilitation payments	6,189	-

e) Asset Acquisition

	2020	2019
Constituency	Kwacha	Kwacha
Luashya	22,500	415,169
Roan	-	1,021,460
Total Asset Acquisition Payments	22,500	1,436,629

f) Empowerment

	2020	2019
Constituency	Kwacha	Kwacha
Luashya	4,000	-
Roan	526,440	-
Total Asset Acquisition Payments	530,440	-

NOTES TO THE FINANCIAL STATEMENTS

g) Administrative Costs

	2020	2019
Constituency	Kwacha	Kwacha
Luanshya	57,939	21,119
Roan	44,554	19,063
Total	102,494	40,182

9. Other grants

During the year, the Council received the following other grants:

Revenue Source	2020	2019
	Kwacha	Kwacha
Grants in Lieu of Rates	600,000	-
Grants from Cooperating Partners	-	39,900
Other	-	-
TOTAL	600,000	39,900

10. Borrowings

During the year under review, the Council had no undertaking with any lending institution.

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Motel owned by the Council. However, council had a deficit of K120,877.

	2020	2019
Receipts	Kwacha	Kwacha
Tailoring Sales Receipt	98,991	80,174
Shoe making Sales Receipt	26,980	23,250
Baluba Motel Rentals	-	120,263
Others	12,639	50,000
TOTAL	138,609	273,686
Payments		
General Administration	24,082	9,186
Shoe making Sales Costs	26,720	1,937
Tailoring Sales Costs	189,840	46,498
Wages	15,595	8,950
Investments Interest	3,249	50,000
Others	-	4,909
TOTAL	259,486	121,480
Surplus/deficit	(120,877)	152,206

NOTES TO THE FINANCIAL STATEMENTS

12. Other Receipts

There were no other receipts.

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2020	2019
	Kwacha	Kwacha
Salaries Division 1	7,063,034	6,227,682
Salaries Division 2	6,933,507	4,396,296
Salaries Division 3	5,388,268	2,857,539
Wages- Division 4	11,650,580	6,658,794
Other wages	3,420,010	6,340,187
TOTAL	34,455,399	26,480,499

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2020	2019
	Kwacha	Kwacha
Office Running Costs	1,712,685	790,015
Building, Repair and Maintenance Costs	338,074	639,275
Plant, Machinery and Vehicle Running and Maintenance Cost	2,526,871	2,034,147
Other Administrative operating costs	485,245	960,092
Requisites	528,994	455,085
Services	2,957,323	4,090,231
Travel expenses	900,089	640,000
Training	198,044	375,704
Medical costs	307,272	101,270
Other costs	573,760	156,680
TOTAL	10,528,358	10,242,499

15. Financial Charges

The Council paid amounts totalling K55,297 in financial charges.

	2020	2019
	Kwacha	Kwacha
Bank Charges	55,297	244,123
	-	-
TOTAL	55,297	244,123

NOTES TO THE FINANCIAL STATEMENTS

16. Social Benefits

Social benefits include payments towards death on duty, burial, and other benefits. During the year, the Council made social benefit payments amounting to K1,080,006.

	2020 Kwacha	2019 Kwacha
Social Benefits	1,080,006	915,113
TOTAL	1,080,006	915,113

17. Non-financial Asset Acquisition

Non-financial Asset Acquisition involved the following payments:

	2020 Kwacha	2019 Kwacha
Summary of Non-financial Assets Acquisition		
Type		
Tangible Assets (a)	3,099,553	3,491,935
Intangible (b)	59,044	-
TOTAL	3,158,597	3,491,935

a) Tangible Assets

Expenditure Type	2020 Kwacha	2019 Kwacha
Air Conditioning Equipments	24,595	18,750
Electrical Equipments	-	14,628
Computers and Peripherals (Printers)	-	-
purchase of the Grader	-	805,000
Purchase of a Tipper Truck	1,221,000	-
full PumpKit	22,500	-
Office Equipment	222,235	38,599
Rehabilitation of Buildings and Fixtures	1,370,277	2,309,658
Office furniture	157,110	93,400
Purchase of Two Motor Vehicles	81,836	211,900
TOTAL	3,099,553	3,491,935

b) Intangible Asset

	2019 Kwacha	2018 Kwacha
Other Intangible Assets - Internet Software	59,044	-
TOTAL	59,044	-

NOTES TO THE FINANCIAL STATEMENTS

18. Financial Assets

There was no Acquisition of financial assets.

19. Loan Repayments

The Council had no loan with any institution.

20. Other payments

	2020 Kwacha	2019 Kwacha
Other payments	-	50,000
TOTAL	-	50,000

21. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances. The Council did not have any foreign exchange gains and losses

22. Cash Balances

The Council's Cash amounts consisted of cash on hand and demand deposits.

	2020 Kwacha	2019 Kwacha
Cash on hand	5,421	48,347
Demand Deposits	8,086,755	1,149,729
Cash equivalents	-	-
TOTAL	8,092,176	1,198,076

a. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2020 Kwacha	2019 Kwacha
Cash collections undeposited	5,421	48,347
Petty Cash	-	-
TOTAL	5,421	48,347

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2020:

Account Name	Account No	2020 Kwacha	2019 Kwacha
Levies Account	Atlasmara -0310100900009	220	39,527
Operations Account	Atlasmara-0310476108015	-	29,524
Transit Account	Atlasmara-0310577924001	74,789	16,595
Capital project Fund A/C	Zanaco-0120321300172	3,516,365	55,836
Markets Account	Zanaco-0532898300108	144,984	18,202
Transit Account	Zanaco-5703833300356	94,958	1,074
Operations Account	Zanaco -5703833300255	29,935	2,908
Fire Account	Zanaco-5703833300154	134,659	4,650
Luanshya Constituency Account	Zanaco-0120204300186	1,556,100	156,638
Roan Constituency Account	Zanaco-1379123300178	1,656,772	593,748
Salaries Account	Zanaco-1102109300146	846,382	55,245
Commercial Account	Barclays-0000001081359	102	567
Main Ward Account	Atlasmara-0310437447016	162	23,008
Baluba Investments	Zanaco-5693307500152	31,330	152,206
TOTAL		8,086,755	1,149,729

c. Cash Equivalents

The Council didn't hold any cash equivalents at the end of the year under review.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 4th February 2020. There was no supplementary budget made in the year under review.

b. Budget Variances

• Local Taxes

The Council planned to generate K19,339,994 from local taxes but collected K27,128,289 resulting in a variance of K7,788,295 representing 40% increase in revenue above the budgeted amount. The variance was mainly due to increased revenue sources and improved collection strategies.

• Fees and Charges

The Council planned to generate K24,377,571 from fees and charges but collected K9,659,441 resulting in variance of K14,718,130 representing 60% of the budgeted amount. The variance was due to economic challenges due to the Covid 19 pandemic.

• Licences

The Council planned to generate K208,200 from licenses but collected K873,886 resulting in a variance of 320%. The variance was due to increased revenue sources and improved collection strategies

NOTES TO THE FINANCIAL STATEMENTS

- **Levies**

The Council planned to generate K1,322,156 from levies but collected K30,841 resulting in unfavorable variance of 98%. The variance was mainly due to decreased revenue sources and collection strategies with the Covid-19 Pandemic.

- **Permits**

The Council planned to generate K2,084,710 from permits but collected K1,243,610 resulting in unfavorable variance of 40%. The variance was due to decreased revenue sources and collection strategies.

- **Commercial Venture**

The Council planned to realise K782,400 from its Commercial Venture but made a loss of K120,877 resulting in a variance of 115%. The variance was attributable to the economic challenges and the closure of some of the services being offered by the venture due to the Covid 19 pandemic.

- **Use of Goods and Services**

The Council planned to Spend K19,665,802 on use of goods and services but spent K10,501,836 resulting in variance of 46%. The variance was due to some activities being cancelled due to the Covid 19 Pandemic.

- **Financial Charges**

The Council planned to Spend K106,671 as financial charges but spent K55,297 resulting in variance of 48%. The variance was due to bank transactions.

- **Non-Financial Asset Acquisition**

The Council planned to Spend K6,359,895 on non-financial asset acquisition but spent K3,158,597 resulting in variance of K3,201,298 representing 50% of the budgeted amount. The variance was due to the challenges the institution had in the collection of its revenue.

- **Other Payments**

The Council did not spend any amount towards other payments due to financial constraints resulting into a variance of 100%.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Municipal Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

Type of Services	2020 Kwacha	2019 Kwacha
Wages - Div IV	11,650,580	6,062,446
Building Maintenance (Maitenance,consumables,Cleaning)	216,624	447,766
Petrol ,Oil and Lubricants	399,958	1,439,885
Servicing of Grader/Fire Tender	131,493	129,886
Spare Parts	547,276	168,375
Tyres	223,423	148,912
Repairs	13,793	87,879
Insurance	229,710	27,054
Boards Councils and Committees allowances	134,198	589,157
Hand tools and equipment	206,792	28,486
Protective Wear, Clothing and Uniforms	71,450	136,285
Street light equipment	112,960	39,990
Road maitenance materials	796,948	231,230
Insecticides	2,575	225
Veterinary Materials	-	13,355
School requisites	-	5,000
Other purchases	-	290
Audit fees	91,061	15,891
Printing	1,874	30,093
Advertising and Publicity.	91,960	52,782
Public functions and ceremonies	59,840	48,337
Shows and Exhibits	-	35,282
State Fuctions	50,156	106,040
Board,Council and Committee expenses	285,405	99,874
Relief,Repatriation and Burial of Destitutes	21,810	2,155
Cultural Promotions	97,660	-
Staff Welfare and Recreation	31,380	551,846
Land Demarcation and Survey	272,406	80,965
Bush Clearing and Grass cutting/Wards	426,859	91
Development & Maitenance of Cementaries	-	-
Valuation of properties	40,704	1,600,479
Labour day expenses and Awards	-	58,080
Creation and Maitenance of Parks	15,473	-
Provision of Fire services	251,679	-
Waste and Refuse collection	437,879	-
In and outdoor Spraying and disfection	231,898	-
Conferences,Seminars and Workshops	138,984	78,698
Bank charges	55,297	244,123
Water Facility Supply	-	257,200
Drainage System	-	169,070
Market facilities	250,142	112,538
Other services	915,278	2,013,076
Industrial Buildings	927,155	693,942
Other Machinery and Equipment	-	39,490
Other specialised Vehicles	1,221,000	805,000
	20,653,682	16,651,273

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K39,554,431.

	Office and Fixtures	Land and Buildings	Plant & Machinery	Intangible Assets	Motor vehicles	TOTAL
	K	K	K	K	K	K
Opening balance	918,252	34,680,683	1,050,968	-	1,583,840	38,233,743
Additions	403,940	1,370,277	1,243,500	59,044	81,836	3,158,597
Revaluation	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-
Disposal	-	-	-	-	-	-
Depreciation	- 198,329 -	721,019 -	573,617 -	11,809 -	333,135 -	1,837,909
Closing balance	<u>1,123,863</u>	<u>35,329,941</u>	<u>1,720,851</u>	<u>47,235</u>	<u>1,332,541</u>	<u>39,554,431</u>

26. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Baluba Investment Holdings		90%

The Council did not receive any dividends from its investments during the period under review.

27. Administered Transactions

The Council did not administer any transaction with other institutions in the period under review.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Luanshya Municipal Council:

a. Fringe benefits Disclosures

The Mayor was provided with a “Ceremonial Vehicle”, an office and personal secretary. The Town Clerk was also provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilors’

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Luanshya Municipal Council are:

Aggregate Remuneration	K1,283,490
Number of persons	29

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

NOTES TO THE FINANCIAL STATEMENTS

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration K1,516,967.

Number of persons 8

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

During the period under review the Local Authority did not receive any external assistance.

30. Third Party Payments

Luanshya Municipal Council during the period under review did not engage in any party's transactions.